

Rigetti Computing, Inc.
RGTI NASDAQ

Buy \$26.42 ▲ 19.87% 12M Price Target \$32.00 52-Week Range \$10.30 – \$58.15 Market Cap \$8.78B

RGTI: \$100M Govt Backing Catalyzes Rerating; Reiterate Buy

WHAT'S CHANGED

- RGTI +59% over two sessions (5/21 +30.5%, 5/22 +19.9%) on news of \$100M government funding award, with volume surging to 203M shares on 5/22 vs. ~25M trailing average.
- Sector tailwind reinforced by IBM's best weekly performance in 24 years and renewed "Q-Day" cryptographic risk narrative driving capital into pure-play quantum names (IONQ also bid).

IMPLICATIONS

The \$100M government backing materially de-risks RGTI's near-term cash runway (prior cash ~\$200M) and validates its superconducting modular architecture as a strategic national asset, likely accelerating the path to the 100+ qubit Ankaa-class systems. We expect incremental DoD/DOE contract flow and potential follow-on awards to provide non-dilutive funding optionality, reducing equity raise risk through FY27. Near-term catalysts include 84-qubit system milestone updates and potential additional federal program announcements.

VALUATION

At \$8.78B market cap on ~\$22M FY26E revenue, RGTI trades at ~400x EV/Sales — extreme even by quantum peer standards (IONQ ~150x) — reflecting optionality on logical-qubit milestones rather than fundamentals. Our \$32 PT is based on a blended scenario-weighted framework (60% bull case at 500x FY27E sales given govt validation; 40% base at 250x), implying ~21% upside. Multiple sustainability hinges on continued contract wins and error-correction roadmap execution.

KEY RISKS

- Extreme valuation leaves shares vulnerable to sharp drawdowns on any execution slip or fade in quantum thematic flows.
- Equity dilution risk remains elevated — RGTI has historically issued stock into strength to fund multi-year R&D burn.
- Competitive displacement by IBM, Google, and IonQ in scaling logical qubits could marginalize Rigetti's superconducting approach.

RECENT NEWS

- Rigetti (RGTI) Climbs 48% on \$100M Govt Backing** Insider Monkey · 2026-05-25 12:51
- Rigetti Computing (RGTI) Soars 19.9% on \$100M Govt Funding** Insider Monkey · 2026-05-23 09:21
- Why IonQ (IONQ) Stock Is Up Today** StockStory · 2026-05-23 03:32
- Stock Market Today, May 22: S&P 500 Posts Eighth Straight Week of Gains** Motley Fool · 2026-05-22 21:30

Equity Research Coverage

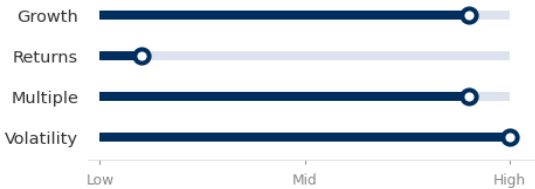
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Key Data

Price (USD)	\$26.42
12M Price Target	\$32.00
Upside / (Downside)	+21.1%
Market Cap	\$8.78B
FY2026E Revenue	\$22M
FY2027E Revenue	\$38M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.35)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

